



**UMEME LIMITED
INTERIM CONDENSED FINANCIAL STATEMENTS
(UNAUDITED)**

**FOR THE SIX-MONTH PERIOD ENDED
30 JUNE 2019**

UMEME LIMITED
INTERIM CONDENSED FINANCIAL STATEMENTS (UNAUDITED)
FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2019

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UMEME LIMITED
INTERIM CONDENSED FINANCIAL STATEMENTS (UNAUDITED)
FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2019

Abbreviation	In full
CWIP	Capital Work-in-Progress
EBITDA	Earnings Before Interest, Tax, Depreciation and Amortisation
ECL	Expected Credit Losses
ECP	Electricity Connection Policy
EPS	Earnings Per Share
ERA	Electricity Regulatory Authority
DFCU	DFCU Bank Limited
DFI	Development Finance Institutions
GOU	Government of Uganda
GOU-TOU	Government of Uganda Time of Use
IAS	International Accounting Standard
ITA	Income Tax Act
IFRIC	International Standards Interpretations Committee
IFRS	International Financial Reporting Standards
IVA	Independent Verification Agency
LAA	Lease and Assignment Agreement
No.	Number
NRCC	Non- Refundable Capital Contributions
NSE	Nairobi Securities Exchange
OBA	Output Based Aid
REA	Rural Electrification Agency
SCB	Standard Chartered Bank
SIC	Standards Interpretations Committee
UEDCL	Uganda Electricity Distribution Company Limited
UETCL	Uganda Electricity Transmission Company Limited
URA	Uganda Revenue Authority
USD	United States Dollars
USE	Uganda Securities Exchange
Ushs	Uganda Shillings
WACC	Weighted Average Cost of Capital

UMEME LIMITED
STATEMENT OF DIRECTORS' RESPONSIBILITIES
FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2019

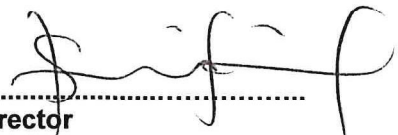
The Uganda Securities Exchange Rules, 2003 require the directors to prepare interim reports for the first six months of a financial year, which show the state of the financial affairs of Umeme Limited ("the Company") as at the end of the six-months period and of its operating results for that period.

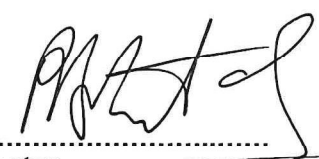
The directors are ultimately responsible for the internal control of the Company. The directors delegate responsibility for internal control to management. Standards and systems of internal control are designed and implemented by management to provide reasonable assurance as to the integrity and reliability of the financial statements and to adequately safeguard, verify and maintain accountability of the Company's assets. Appropriate accounting policies supported by reasonable and prudent judgements and estimates are applied on a consistent basis and using the going concern basis. These systems and controls include the proper delegation of responsibilities within a clearly defined framework, effective accounting procedures and adequate segregation of duties.

The directors accept responsibility for the condensed interim financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgments and estimates, in conformity with IAS 34 *Interim Financial Reporting*. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of interim condensed financial statements, as well as maintenance of adequate systems of internal financial control.

The directors have made an assessment of the Company's ability to continue as a going concern and are satisfied that the Company has the resources to continue in business for the foreseeable future. In addition, the directors are not aware of any material uncertainties that may cast significant doubt upon the Company's ability to continue as a going concern for the next twelve months from the date of this statement.

The interim condensed financial statements were approved by the Board of Directors on 27 August 2019 and signed on its behalf by:


.....
Director


.....
Director

Date: 27 August 2019

REPORT ON REVIEW OF INTERIM CONDENSED FINANCIAL STATEMENTS TO THE DIRECTORS OF UMEME LIMITED

INTRODUCTION

We have reviewed the accompanying interim condensed statement of financial position of Umeme Limited as at 30 June 2019, and the related interim condensed statements of profit or loss, comprehensive income, changes in equity and cash flows for the six-month period then ended, and notes to the interim condensed financial statements, which include a summary of significant accounting policies and other explanatory notes as set out on pages 3 to 33. The directors are responsible for the preparation and presentation of this interim condensed financial information in accordance with International Accounting Standard (IAS) 34 *Interim Financial Reporting*. Our responsibility is to express a conclusion on this interim condensed financial information based on our review.

SCOPE OF REVIEW

We conducted our review in accordance with International Standards on Review Engagements 2410, "*Review of Interim Financial Information Performed by the Independent Auditor of the Entity*". A review of interim financial information consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with International Standards on Auditing and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

CONCLUSION

Based on our review, nothing has come to our attention that causes us to believe that the accompanying interim condensed financial information is not prepared, in all material respects, in accordance with International Accounting Standard (IAS) 34, *Interim Financial Reporting*.



Ernst & Young
Certified Public Accountants
Kampala, Uganda

28 August
.....2019

UMEME LIMITED
INTERIM CONDENSED STATEMENT OF PROFIT OR LOSS
FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2019

	Note	Unaudited 6 months ended 30 June 2019 Ushs million	Unaudited 6 months ended 30 June 2018 Ushs million
Revenue from contracts with customers	3	815,683	740,837
Cost of sales	4	<u>(519,605)</u>	<u>(474,359)</u>
GROSS PROFIT		296,078	266,478
Repair and maintenance expenses		(16,125)	(21,678)
Administrative expenses	5	(81,404)	(78,857)
Expected credit losses on financial assets	22	(3,866)	(5,057)
Foreign exchange losses		<u>(525)</u>	<u>(2,297)</u>
OPERATING PROFIT BEFORE AMORTISATION		194,158	158,589
Amortisation of intangible assets		<u>(59,491)</u>	<u>(46,848)</u>
OPERATING PROFIT		134,667	111,741
Finance income	6	23,492	21,252
Finance costs	7	<u>(45,086)</u>	<u>(45,652)</u>
PROFIT BEFORE TAX		113,073	87,341
Income tax expense	8	<u>(51,835)</u>	<u>(26,296)</u>
PROFIT FOR THE PERIOD		<u>61,238</u>	<u>61,045</u>
BASIC AND DILUTED EARNINGS PER SHARE	9	<u>Ushs 37.7</u>	<u>Ushs 37.6</u>

The notes on pages 8 to 33 are an integral part of the interim condensed financial statements.

UMEME LIMITED
INTERIM CONDENSED STATEMENT OF COMPREHENSIVE INCOME
FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2019

	Unaudited 6 months ended 30 June 2019 Ushs million	Unaudited 6 months ended 30 June 2018 Ushs million
Profit for the period	61,238	61,045
Other comprehensive income that may be reclassified to profit or loss in subsequent periods (net of tax):		
Exchange differences on translation from functional currency	<u>41,184</u>	<u>42,673</u>
Total comprehensive income for the period, net of tax	<u>102,422</u>	<u>103,718</u>

The notes on pages 8 to 33 are an integral part of the interim condensed financial statements.

UMEME LIMITED
INTERIM CONDENSED STATEMENT OF FINANCIAL POSITION
AS AT 30 JUNE 2019

	Note	Unaudited 30 June 2019 Ushs million	Audited 31 December 2018 Ushs million
ASSETS			
Non-current assets			
Intangible assets	10	904,026	1,011,731
Other financial asset	11	755,213	679,017
Concession arrangement: financial asset	12	450,364	435,291
		2,109,603	2,126,039
Current assets			
Inventories		70,707	64,657
Contract assets	13	101,161	4,542
Current income tax recoverable	8	-	18,357
Trade and other receivables	14	177,908	199,496
Prepayments		73,485	29,344
Bank balances	15	26,785	21,208
		450,046	337,604
TOTAL ASSETS		2,559,649	2,463,643
EQUITY AND LIABILITIES			
Equity			
Issued capital		27,748	27,748
Share premium		70,292	70,292
Retained earnings		481,793	466,348
Translation reserve		198,996	157,812
		778,829	722,200
Non-current liabilities			
Borrowings: Non-current portion	16	277,298	343,200
Concession obligation	17	450,364	435,291
Deferred tax liability	8	188,686	207,372
		916,348	985,863
Current liabilities			
Borrowings: Current portion	16	184,615	185,335
Customer security deposits		1,129	791
Contract liabilities	18	106,668	78,887
Provisions		22,395	30,161
Long term incentive plan		495	6,965
Current income tax payable		1,908	-
Trade and other payables		497,851	414,312
Short term borrowings	19	49,411	39,129
		864,472	755,580
TOTAL EQUITY AND LIABILITIES		2,559,649	2,463,643

These interim condensed financial statements were approved by the Board of Directors on 27 August 2019 and signed on its behalf by:

Director

Director

The notes on pages 8 to 33 are an integral part of the interim condensed financial statements.

UMEME LIMITED
INTERIM CONDENSED STATEMENT OF CHANGES IN EQUITY
FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2019

	Issued capital Ushs million	Share premium Ushs million	Translation reserve Ushs million	Retained earnings Ushs million	Total equity Ushs million
At 1 January 2018	27,748	70,292	149,971	369,658	617,669
Adjustment on initial application of IFRS 9 (net of tax)	-	-	-	(3,161)	(3,161)
At 1 January 2018 - Restated	27,748	70,292	149,971	366,497	614,508
Profit for the period	-	-	-	61,045	61,045
Other comprehensive income, net of tax	-	-	42,673	-	42,673
Total other comprehensive income, net of tax	-	-	42,673	61,045	103,718
Final dividend for 2017	-	-	-	(12,270)	(12,270)
At 30 June 2018 - unaudited	27,748	70,292	192,644	415,272	705,956
At 1 January 2019	27,748	70,292	157,812	466,348	722,200
Profit for the period	-	-	-	61,238	61,238
Other comprehensive loss, net of tax	-	-	41,184	-	41,184
Total other comprehensive income, net of tax	-	-	41,184	61,238	102,422
Final dividend for 2018	-	-	-	(45,793)	(45,793)
At 30 June 2019 - unaudited	27,748	70,292	198,996	481,793	778,829

The notes on pages 8 to 33 are an integral part of the interim condensed financial statements.

UMEME LIMITED
NOTES TO THE INTERIM CONDENSED FINANCIAL STATEMENTS
FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2019

		Unaudited 6 months ended 30 June 2019 Ushs million	Unaudited 6 months ended 30 June 2018 Ushs million
Profit before tax	Note	113,073	87,341
Adjustment for:			
Interest on bank deposits	6	(136)	(228)
Finance income on concession financial asset	6	(17,098)	(15,765)
Finance income on buyout amount	6	(6,258)	(5,259)
Finance cost on concession obligation	7	17,098	15,765
Amortisation of intangible assets		59,491	46,848
Interest expense on borrowings		22,576	23,987
Amortisation of deferred transaction costs		(26)	2,617
Impairment provision on financial assets	22	3,866	5,057
(Decrease)/increase in provisions		(7,766)	3,422
Fair value loss on valuation of other financial asset		-	318
Cash flows before working capital movements		184,820	164,103
Changes in:			
Inventories		(6,050)	(11,645)
Contract assets		(96,619)	8,681
Trade and other receivables		17,722	18,008
Prepayments		(44,141)	-
Contract liabilities		27,781	26,333
Long term incentive plan		(6,470)	-
Trade and other payables		58,369	(54)
Cash generated from operating activities		135,412	205,426
Interest received from banks		136	228
Current income tax paid		(5,566)	(11,000)
Interest paid on borrowings		(23,195)	(22,979)
Commitment fees on borrowings		(516)	(1,460)
Net cash flows from operating activities		106,271	170,215
Investing activities			
Purchase of intangible assets		(29,011)	(113,297)
Net cash flows used in investing activities		(29,011)	(113,297)
Financing activities			
Repayment of principal on borrowings		(118,560)	(140,928)
Total proceeds from borrowings		54,500	54,750
Dividends paid	20	(20,623)	-
Net cash flows used in financing activities		(84,683)	(86,178)
Net decrease in cash and cash equivalents		(7,423)	(29,260)
Cash and cash equivalents at 1 January		(18,712)	(22,240)
Translation differences		2,381	(4,660)
Cash and cash equivalents at 30 June	21	(23,754)	(56,160)

The notes on pages 8 to 33 comprise an integral part of the interim condensed financial statements.

UMEME LIMITED
NOTES TO THE INTERIM CONDENSED FINANCIAL STATEMENTS
FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2019

1. COMPANY INFORMATION AND GOING CONCERN

1.1 Company information

Umeme Limited (the "Company") is a public limited liability company incorporated in Uganda under the Companies Act, 2012 of Uganda, and licensed by Electricity Regulatory Authority (ERA) under License No. 047 and No. 48 to carry on business of electricity distribution and supply under the provisions of the Electricity Act 1999, (Cap 145). The Company's business operations are generally evenly distributed over the period.

The Company's shares are publicly traded on the Uganda Securities Exchange (USE) and cross-listed on the Nairobi Securities Exchange (NSE).

The interim condensed financial statements of the Company for the six-months ended 30 June 2019 were authorised for issue in accordance with a resolution of the directors on 27 August 2019.

1.2 Going concern

The Company's directors have made an assessment of the Company's ability to continue as a going concern and are satisfied that the Company has the resources to continue in business for the foreseeable future. Furthermore, the directors are not aware of any material uncertainties that may cast significant doubt upon the Company's ability to continue as a going concern. Therefore, the interim condensed financial statements have been prepared on the going concern basis.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

a) Basis of preparation

The interim condensed financial statements have been prepared in accordance with IAS 34 *Interim Financial Reporting*. The interim condensed financial statements do not include all the information and disclosures required in audited annual financial statements, and should be read in conjunction with the Company's audited annual financial statements for the year ended 31 December 2018. The explanatory notes disclose the events and transactions that update the relevant information presented in the 2018 audited annual financial statements including:

- The nature and amount of items affecting the Company's financial position, performance and cash flows that are unusual because of their nature, size or incidence.
- The nature and amount of changes in accounting policies and methods and estimates used in the preparation of the financial statements, and status of long-term contracts.
- Events subsequent to the end of the most recent annual reporting period, 31 December 2018, that have a material effect on the interim condensed financial statements.
- Issues and repayments of debt and equity securities.
- Dividends paid for ordinary shares.

Balances disclosed relating to the year ended 31 December 2018 are audited while balances relating to 30 June 2019 and 30 June 2018 are unaudited.

Functional currency

The Company's functional currency is United States Dollars (USD), which is the currency of the primary economic environment in which the Company operates.

Presentation currency

The Company's financial statements are presented in Uganda Shillings (Ushs) to meet the expectations of most of the primary users of the financial statements since Ushs is the currency of the country in which the Company operates.

UMEME LIMITED
NOTES TO THE INTERIM CONDENSED FINANCIAL STATEMENTS (CONTINUED)
FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2019

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

b) Use of judgements and estimates

In preparing these interim condensed financial statements, management has made judgements and estimates that affect the application of accounting policies and the reported amounts of assets and liabilities, income and expenses. Actual results may differ from these estimates. The significant judgements made by management in applying the Company's accounting policies and the key sources of estimation uncertainty were the same as those described in the latest audited annual financial statements.

c) Fair value measurement

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data is available to measure fair value, maximizing the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the interim condensed financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest-level input that is significant to the fair value measurement as a whole:

- Level 1 — Quoted (unadjusted) market prices in active markets for identical assets or liabilities.
- Level 2 — Valuation techniques for which the lowest-level input that is significant to the fair value measurement is directly or indirectly observable.
- Level 3 — Valuation techniques for which the lowest-level input that is significant to the fair value measurement is unobservable.

If the inputs used to measure the fair value of an asset or a liability might be categorised in different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

The following table provides the fair value measurement hierarchy of the Company's financial instruments:

		Fair value measurement using			
		Quoted		Significant observable inputs (Level 2)	Significant unobservable inputs (Level 3)
	Date of valuation	Total Ushs million	prices in active markets (Level 1)		
Borrowings	30-Jun-19	469,443	-	469,443	-
	31-Dec-18	535,556	-	535,556	-
Concession financial asset/liability	30-Jun-19	450,364	-	450,364	-
	31-Dec-18	435,291	-	435,291	-
Other financial asset (Note 11)	30-Jun-19	755,213	-	-	755,213
	31-Dec-18	679,017	-	-	679,017

There were no transfers into and out of the fair value hierarchies.

The Company has no non-financial assets and liabilities that are measured at fair value.

UMEME LIMITED
NOTES TO THE INTERIM CONDENSED FINANCIAL STATEMENTS (CONTINUED)
FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2019

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

(c) Fair value measurement (continued)

The table below shows the significant unobservable inputs to fair valuation as at 30 June 2019:

Financial asset	Valuation Technique	Significant unobservable inputs	Range (weighted average)	Sensitivity of input to fair value
Other financial asset / liability	Discounted cashflows	WACC	Refer to Note 11	0.1% increase/decrease in the WACC would result increase/decrease in the fair value by Ushs 248 million

d) Segment information

The Company is organised into one single business unit for management purposes. Management monitors the operating results of the business as a single unit for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profit or loss which is measured the same as the operating profit or loss in the financial statements. There were no changes to this during the period. All the Company's revenue is generated from external customers domiciled in Uganda and no single external customer contributes revenue amounting up to 10% of the Company's revenue. All the Company's assets are located in Uganda.

e) New and amended standards and interpretations

New and amended standards and interpretations effective for the period

The accounting policies adopted in the preparation of the interim condensed financial statements are consistent with those followed in the preparation of the Company's latest audited annual financial statements, except for the adoption of the new and amended standards and interpretations effective as of 1 January 2019. The Company has not early adopted any other standard, interpretation or amendment that has been issued but is not yet effective.

The description below indicates the impact assessment of the main new standards and interpretations that were effective during the period. The changes that apply for the first time in 2019 that are not included below do not have an impact on the interim condensed financial statements of the Company.

IFRS 16 Leases

IFRS 16 supersedes IAS 17 *Leases*, IFRIC 4 *Determining whether an Arrangement contains a Lease*, SIC-15 *Operating Leases-Incentives* and SIC-27 *Evaluating the Substance of Transactions Involving the Legal Form of a Lease*. The standard sets out the principles for the recognition, measurement, presentation and disclosure of leases and requires lessees to account for most leases under a single on-balance sheet model.

The standard is effective for annual periods beginning on or after 1 January 2019. IFRS 16 introduces a single, on-balance sheet lease accounting model for leases. A lessee recognises a right-of-use asset representing its right to use the underlying asset and a lease liability representing its obligation to make lease payments. There are recognition exemptions for short-term leases and leases of low-value items. Lessor accounting remains similar to the current standard, that is, lessors continue to classify leases as finance or operating leases.

Contracts that are under the scope of IFRIC 12 Service concession arrangements are not in the scope of IFRS 16. The Company's only business is to operate a twenty-year service concession arrangement. As such, IFRS 16 did not have an impact on the Company's financial statements.

UMEME LIMITED
NOTES TO THE INTERIM CONDENSED FINANCIAL STATEMENTS (CONTINUED)
FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2019

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

e) New and amended standards and interpretations (continued)

IFRIC Interpretation 23 Uncertainty over Income Tax Treatment

The Interpretation addresses the accounting for income taxes when tax treatments involve uncertainty that affects the application of IAS 12 *Income Taxes*. It does not apply to taxes or levies outside the scope of IAS 12, nor does it specifically include requirements relating to interest and penalties associated with uncertain tax treatments. The Interpretation specifically addresses the following:

- Whether an entity considers uncertain tax treatments separately
- The assumptions an entity makes about the examination of tax treatments by taxation authorities
- How an entity determines taxable profit (tax loss), tax bases, unused tax losses, unused tax credits and tax rates
- How an entity considers changes in facts and circumstances

An entity has to determine whether to consider each uncertain tax treatment separately or together with one or more other uncertain tax treatments. The approach that better predicts the resolution of the uncertainty needs to be followed.

The Company has open tax assessments as disclosed in Note 26 which raise uncertainty over the tax treatment of the related matters. The interpretation did not have an impact on the Company's interim condensed financial statements because the Company's practice was in line with the interpretation.

New and amended standards and interpretations issued but not yet effective

The new and amended standards and interpretations issued but not yet effective are not expected to have an impact on the Company's financial statements.

3. REVENUE FROM CONTRACTS WITH CUSTOMERS

The Company's revenue streams are those described in the latest audited annual financial statements. Revenue is derived from contracts with customers.

The Company's primary geographical market is Uganda. Revenue from sale of electricity including lifeline surcharge revenue is recognised at a point in time when the customer consumes electricity, based on the end user tariff set by ERA.

The tariffs charged to customers vary over the contract term through quarterly price changes by ERA and pricing by time-of-day i.e. peak, shoulder and off-peak. The pricing by time-of-day reflects the value of electricity that the customer gets.

Capital contributions received from the customers by Umeme from which construction revenue is derived represent advance payments by customers for construction services.

In the following table, revenue is disaggregated by tariff code of billing.

UMEME LIMITED
NOTES TO THE INTERIM CONDENSED FINANCIAL STATEMENTS (CONTINUED)
FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2019

3. REVENUE FROM CONTRACTS WITH CUSTOMERS (Continued)

Revenue by customer category	Notes	Unaudited 6 months ended 30 June 2019 Ushs million	Unaudited 6 months ended 30 June 2018 Ushs million
Domestic		223,292	207,069
Commercial		127,669	115,977
Medium industrial		172,605	149,816
Street lighting		330	357
Large industrial		173,994	153,643
Extra large		123,590	141,433
Total amount billed to customers		821,480	768,295
Tariff adjustments			
Recovery of growth factor revenues	3(a)	(29,268)	(15,199)
Recovery of income for funding non-network assets	3(b)	(4,646)	(4,655)
Surcharge revenue adjustments (Lifeline revenue)	3(c)	-	17,000
Recovery of surcharge revenue (Lifeline revenue)	3(d)	(6,761)	(35,971)
Recovery of industrial tariff rebates and meter testing funds	3(e)	(321)	(5,291)
		780,484	724,179
Construction revenue			
Construction revenue - Construction of assets	3(f)	1,638	11,655
Construction revenue – ECP	3(g)	28,543	-
		30,181	11,655
Other regulated income			
Reconnection fees		1,347	349
Inspection fees		3,039	3,352
		4,386	3,701
Non-regulated income			
Sale of scrap and other disposals		221	697
Output Based Aid (OBA) income		-	317
Fines and other income		411	288
		632	1,302
Total revenue from contracts with customers		815,683	740,837

3(a) Amendment Number 5 of Umeme's Electricity Supply Licence Number 048 requires that the Growth factor (Hvey) revenues for year-on-year total energy purchases be deployed towards investments into the Distribution Network as approved by ERA and to be used to leverage grant or other counterpart financing that will be applied to investments in the Distribution Network. The Company is not entitled to a Return on Investment on the specific projects implemented using the reconciliation amounts in line with similar terms for projects funded using concessionary financing, but will earn a one-off management fee. An amount of Ushs 29,268 million (June 2018: Ushs 15,199 million) has been estimated as excess amount collected by the Company through growth and as such in line with Amendment Number 5, this amount has been ring fenced for future growth investments that will be approved by ERA.

UMEME LIMITED
NOTES TO THE INTERIM CONDENSED FINANCIAL STATEMENTS (CONTINUED)
FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2019

3. REVENUE FROM CONTRACTS WITH CUSTOMERS (Continued)

- 3(b)** In accordance with Amendment Number 4 of the Company's Electricity Supply License, ERA approved Ushs 4,646 million (June 2018: Ushs 4,655 million) to be collected from customers through the retail tariffs for purchase of non-network assets. Non-network assets are those which do not directly improve or expand the Distribution Network but are necessary for operation of the Distribution Network. This amount is deducted from the amounts billed to the customers as it is not revenue for the Company.
- 3(c)** Surcharge revenue adjustments relate to revenue earned during the period January 2018 to March 2018 as a result of under provision in the tariff model in relation to the computation of surcharge on the lifeline tariff that resulted into an under recovery of Umeme revenue requirements for some financial years. ERA confirmed that the amounts were earned as the Company fulfilled the performance obligation of supply of power and therefore approved the recovery of the amounts through the tariffs billed to customers in the subsequent periods.
- 3(d)** As disclosed in the 2018 annual financial statements, the Company earned surcharge revenue relating to the year 2016 (Ushs 46,038 million) and 2017 (Ushs 57,672 million) as a result of under provision in the tariff model in relation to the computation of surcharge on the lifeline tariff that resulted into under recovery of Umeme revenue requirements for the respective financial years. ERA approved the recovery/collection of these amounts through the tariffs for the period effective from April 2018. The adjustment of Ushs 6,761 million relates to amounts billed and recovered during the current period (June 2018: Ushs 35,971).
- 3(e)** In a bid to facilitate industrial connections and, therefore, grow demand, ERA approved Ushs 5,166 million as industrial tariff rebates in 2018 for partial offset of monthly bills of industrial consumers who finance connections that have a potential to benefit third party customers. No approval for industrial rebate was provided for the current period. ERA also approved Ushs 321 million (2018: Ushs 125 million) to facilitate testing of meters in order to ensure compliance with the Weights and Measures (Electricity meter) rules.
- 3(f)** The Company provides construction services for asset additions to the Distribution Network in accordance with the concession agreements. The Company only recovers the actual costs incurred in constructing the assets. Thus, construction revenue is equal to the construction costs. The expenses that are incurred on the assets additions funded by direct cash contributions paid by customers are recognised in the statement of profit and loss as construction cost of sales and the amounts paid by the customers for the service installations ('non-refundable capital contributions' or 'NRCC') are recognised as construction revenue when utilised. The costs incurred on the installations funded by the Company are offset from the related construction revenue as this reflects the substance and legal form of the transactions.
- 3(g)** Under the Electricity Connections Policy (ECP), the Company was engaged by the Rural Electrification Agency (REA) to provide construction services regarding connection of no-pole and one-pole electricity connections. The agreement for this service entitles the Company to bill REA at specified approved costs plus a margin of 5%. Billing for the connections constructed is subject to verification and clearance by the Independent Verification Agency (IVA). The Company recognises construction revenue and cost of sales to the extent of the connections verified and cleared by the IVA.

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NOTES TO THE INTERIM CONDENSED FINANCIAL STATEMENTS (CONTINUED)
FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2019

4. COST OF SALES

	Unaudited 6 months ended 30 June 2019 Ushs million	Unaudited 6 months ended 30 June 2018 Ushs million
Electricity purchase from UETCL	486,791	460,411
Generation levy	2,312	2,293
Construction costs - construction of assets	30,502	11,655
	519,605	474,359

5. ADMINISTRATIVE EXPENSES

Staff costs	44,735	43,004
Transport costs	7,886	5,902
Software support agreements	3,382	2,830
Operating lease charge	3,561	3,089
Publicity and advertisement	3,208	1,865
ERA licensing fees	1,699	1,780
Directors expenses	1,491	1,395
Other administration costs	8,254	11,803
Consultancy fees	2,475	1,951
Telephone expenses	2,891	2,793
Debt collection expenses	502	1,404
Insurance charges	1,320	1,041
	81,404	78,857

6. FINANCE INCOME

Interest on bank deposits	136	228
Finance income on concession financial asset	17,098	15,765
Interest receivable on buyout amount	6,258	5,259
	23,492	21,252

7. FINANCE COSTS

Accrued interest on customer security deposits	178	283
Finance charge on concession obligation	17,098	15,765
Amortised borrowing costs	31	2,683
Interest expense on Facility A	8,748	9,205
Interest expense on Facility B	10,027	11,668
Other financing costs ¹	9,004	6,048
	45,086	45,652

¹Includes interest on overdraft facilities.

UMEME LIMITED
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FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2019

8. INCOME TAX

	Unaudited 6 months ended 30 June 2019 Ushs million	Unaudited 6 months ended 30 June 2018 Ushs million
Income tax charge		
Current tax charge		
Current period	11,812	27,440
Prior period	14,019	-
	<u>25,831</u>	<u>27,440</u>
Deferred tax charge/(credit)		
Current period	24,085	(139)
Prior period	1,919	(1,005)
	<u>26,004</u>	<u>(1,144)</u>
	<u>51,835</u>	<u>26,296</u>

The following was the reconciliation of the income tax charge to the accounting profit multiplied by the statutory tax rate.

Profit for the period	113,073	87,341
Tax at the statutory tax rate of 30%	33,922	26,202
Expenses not allowed for tax purposes	1,975	1,099
Current tax prior period adjustment	14,019	-
Deferred tax prior period adjustment	1,919	(1,005)
Income tax charge	<u>51,835</u>	<u>26,296</u>

The movement in the current income tax (recoverable)/payable was as follows:

	Unaudited 30 June 2019 Ushs million	Audited 31 December 2018 Ushs million
Opening balance	(18,357)	(8,123)
Charge for the period	25,831	18,990
Paid during the period	(5,566)	(33,081)
Translation differences	-	3,857
Closing balance	<u>1,908</u>	<u>(18,357)</u>

The deferred tax liability is made up as follows:

	30 June 2019 Ushs million	Charge / (credit) to profit Ushs million	Translation differences Ushs million	31 December 2018 Ushs million
Accelerated tax depreciation	214,180	26,483	(44,690)	232,387
Provision ECLs	(20,834)	(1,068)	-	(19,766)
Other provisions	(4,694)	640	-	(5,334)
Unrealised foreign exchange gains	34	(51)	-	85
	<u>188,686</u>	<u>26,004</u>	<u>(44,690)</u>	<u>207,372</u>

UMEME LIMITED
NOTES TO THE INTERIM CONDENSED FINANCIAL STATEMENTS (CONTINUED)
FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2019

9. BASIC AND DILUTED EARNINGS PER SHARE

Basic and diluted earnings per share are calculated by dividing the profit attributable to shareholders by the basic and diluted weighted average number of ordinary shares in issue during the period.

	Unaudited 6 months ended 30 June 2019	Unaudited 6 months ended 30 June 2018
Profit attributable to shareholders (Ushs million)	61,238	61,045
Opening basic weighted average number of ordinary shares (million)	1,624	1,624
Diluting shares	-	-
Basic and diluted weighted average number of ordinary shares (million)	1,624	1,624
Basic and diluted earnings per share (Ushs)	37.7	37.6

10. INTANGIBLE ASSETS

	GOU support & assurances rights Ushs million	Other Concession rights Ushs million	Total Ushs million
Cost			
At 1 January 2018	3,549	1,454,600	1,458,149
Additions	-	230,600	230,600
Disposals and write offs	-	(13,440)	(13,440)
Transfer to Buy out amount	-	(159,144)	(159,144)
Translation differences	72	29,449	29,521
At 31 December 2018	3,621	1,542,065	1,545,686
Additions	-	29,011	29,011
Transfer to Buy out amount	-	(72,962)	(72,962)
Translation differences	(16)	(6,996)	(7,012)
At 30 June 2019	3,605	1,491,118	1,494,723
Amortisation			
At 1 January 2018	(2,124)	(432,227)	(434,351)
Charge for the year	(123)	(92,758)	(92,881)
Disposals and write offs	-	1,760	1,760
Translation differences	(61)	(8,422)	(8,483)
At 31 December 2018	(2,308)	(531,647)	(533,955)
Charge for the year	(62)	(59,429)	(59,491)
Translation differences	2	2,747	2,749
At 30 June 2019	(2,368)	(588,329)	(590,697)
Net carrying amount			
At 30 June 2019	1,237	902,788	904,026
At 31 December 2018	1,313	1,010,418	1,011,731

UMEME LIMITED
NOTES TO THE INTERIM CONDENSED FINANCIAL STATEMENTS (CONTINUED)
FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2019

10. INTANGIBLE ASSETS (Continued)

GOU support and assurances rights

The Distribution Support Agreement of the Lease and Assignment Agreement between Government of Uganda (GOU) and the Company required Umeme to pay a transaction fee of USD 1.4 million to the GOU Privatisation Unit as consideration for the rights and assurances granted by GOU to Umeme. These rights and assurances are specified in Article IV of the Distribution Support Agreement and include, among others, support for obligations, security protection, obtaining of agency loans, expeditious clearance of imported equipment and notice and opportunity to be heard. The transaction fees were capitalised and are being amortised over the concession period of 20 years.

Other concession rights

The concession agreements do not convey to the Company the right to control the use of the investments in the distribution network but rather the right to operate and use the assets and charge customers. Accordingly, in line with IFRIC 12, the assets added to the distribution network are not recognised as property, plant and equipment. An intangible asset equal to the carrying value of the assets added to the distribution network by the Company, less the residual amount (buy-out amount) is recognised, and is amortised over the useful lives of the underlying property, plant and equipment.

Capitalised borrowing costs

Funding used to construct qualifying assets is financed out of borrowings. The capitalisation rate applied is the weighted average of the borrowing costs applicable to qualifying capital expenditure. The weighted average capitalisation rate used to determine the amount of borrowing costs eligible for capitalisation was 0.8% (2018: 8.416%) and the amount of borrowing costs capitalised during the period ended 30 June 2019 was Ushs 148 million (2018: Ushs 1,262 million).

11. OTHER FINANCIAL ASSET: BUY OUT AMOUNT

	Unaudited	Audited
	30 June 2019	31 December
	Ushs million	2018
		Ushs million
At 1 January	679,017	499,770
Transfer from intangible asset	72,962	159,144
Interest income	6,258	11,145
Expected credit losses	(16)	(361)
Translation difference	(3,008)	9,319
	755,213	679,017

The financial asset represents the amortised cost of capital investments by the Company, which will not have been recovered through the tariff methodology at the time of transferring the distribution network back to Uganda Electricity Distribution Company Limited (UEDCL) at the end of the Concession (buy out amount). It is computed as the gross accumulated capital investments less cumulative expected capital recovery charges at the time of transfer and discounted at an internal rate of return of 20.4% and a weighted average cost of capital (WACC) of 5.14% for investments yet to be approved by ERA over the remaining period of this concession. Annual capital recovery charges are computed as the product of the gross total accumulated investments and weighted average depreciation rate.

As at 30 June 2019, the estimated weighted average depreciation rate was 9.5% (2018: 9.5%) and it is hence estimated that capital investments amounting to Ushs 755,213 million (USD 204,096 million) [2018: Ushs 679,017 million (USD 182 million)] as of that date will not have been recovered through the tariff at the end of the concession. The buy-out amount shall be paid in cash with a 5% return and hence any amounts due are accounted for as a financial asset. The buy-out amount is contractually denominated in USD. The USD balances have been translated to Uganda shillings at the reporting date spot exchange rate of Ushs 3,700 (2018: Ushs 3,716.8).

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NOTES TO THE INTERIM CONDENSED FINANCIAL STATEMENTS (CONTINUED)
FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2019

11. OTHER FINANCIAL ASSET: BUY OUT AMOUNT (Continued)

The carrying amount of the unrecovered capital investments as at period-end were as follows:

	Unaudited		Audited	
	30 June 2019		31 December 2018	
	Ushs million	USD million	Ushs million	USD million
Umeme gross investments (incl. CWIP) ¹	2,352,134	636	2,330,224	627
Less: Cumulative capital recoveries ³	(780,203)	(211)	(620,214)	(167)
Unrecovered investments	1,571,931	425	1,710,010	460
¹ This comprises:				
Total investments in the ERA tariff base ⁴	1,679,570	454	1,728,157	465
Total investments not yet verified by ERA ²	672,564	182	602,067	162
	2,352,134	636	2,330,224	627

²Investments pending ERA verification comprise:

	Unaudited		Audited	
	30 June 2019		31 December 2018	
	Ushs million	USD million	Ushs million	USD million
Completed projects under ERA verification ⁵	530,898	144	468,274	126
Capital work-in-progress (CWIP)	141,666	38	133,793	36
	672,564	182	602,067	162

³The cumulative capital recoveries and investments approved by ERA are inclusive of an allowance for impairment charge of USD 7 million relating to the year ended 31 December 2010. The gross investments are adjusted by this amount.

⁴Investments in ERA tariff base change as more investments are verified and approved by ERA.

⁵Completed investments that are yet to be approved by ERA are summarized below (Amounts in USD million):

	2019	2018	2017	2016	2015	2014	2013	2012	Total
Completed investments yet to be approved	17.8	22.9	18.7	26.1	16.7	20.3	11.7	9.3	143.5

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FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2019

11. OTHER FINANCIAL ASSET: BUY OUT AMOUNT (CONTINUED)

USD 60 million relating to capital investments completed in 2018 has been allowed in the 2019 tariff base pending verification by ERA.

Whilst all investment amounts are expected to be recovered, there is an uncertainty as to the quantum of these investments that will be recovered as capital investments for the purposes of earning a return on investment or provided for as additional operational expenditure in future tariff determinations.

The table below shows Umeme's capital investments over the period 2005 to 2019.

	2005-2011	2012	2013	2014	2015	2016	2017	2018	2019	Total
In Uganda Shillings (At transaction rates)	Ushs	Ushs	Ushs	Ushs	Ushs	Ushs	Ushs	Ushs	Ushs	Ushs
	Million	million	million	million	million	million	million	million	million	million
Substations, Low Voltage Lines & Services	210,235	84,611	142,941	264,483	278,879	314,558	229,999	226,830	27,927	1,780,463
Land and Buildings	6,394	1,052	992	2,909	777	1,309	470	123	-	14,026
Furniture, Fittings, Tools & Office equipment	9,427	3,143	340	780	776	1,730	2,408	2,794	1,039	22,437
Computers, Communication & MIS	24,459	8,393	1,334	664	92	117	3,504	837	-	39,400
Motor vehicles	18,877	875	1,217	-	4	83	47	16	45	21,164
Total investments	269,392	98,074	146,824	268,836	280,528	317,797	236,428	230,600	29,011	1,877,490
Represented by:										
Capitalised	257,051	101,430	135,511	267,415	248,426	273,114	238,559	213,696	1,083	1,736,285
Capital work in progress	12,341	(3,356)	11,313	1,421	32,102	44,683	(2,131)	16,904	27,928	141,205
	269,392	98,074	146,824	268,836	280,528	317,797	236,428	230,600	29,011	1,877,490
In US Dollars (At historical rates)										
Average foreign exchange rate – USD:Ushs	2,074	2,691	2,522	2,778	3,242	3,423	3,616	3,732	3,722	
Total investments: USD '000 equivalent	129,890	36,445	58,217	96,773	86,529	92,842	65,384	61,790	7,790	635,660
USD:Ushs closing foreign exchange rate										3,700.3
Total investments in Ushs at closing foreign exchange rate: Ushs million										2,352,134

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FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2019

12. CONCESSION ARRANGEMENT FINANCIAL ASSET

	Unaudited 30 June 2019 Ushs million	Audited 31 December 2018 Ushs million
At 1 January	435,291	394,985
Financing income for the period/year	17,098	32,386
Foreign exchange (loss)/gain	<u>(2,025)</u>	<u>7,920</u>
At the end of period/year	<u>450,364</u>	<u>435,291</u>
Maturity analysis of the financial asset:		
Outstanding financial asset	450,364	435,291
Less: Amount recoverable within one year	<u>-</u>	<u>-</u>
Non-current portion of financial asset	<u>450,364</u>	<u>435,291</u>
The financial asset is recoverable as analysed below:		
Within one year	-	-
Between one and two years	1,030	3,976
Between two and three years	6,339	8,932
Between three and four years	6,846	42,883
Between four and five years	14,690	46,314
After five years	<u>421,459</u>	<u>333,186</u>
	<u>450,364</u>	<u>435,291</u>

Under the terms of the Lease and Assignment Agreement (LAA), the Company has an unconditional right to collect cash from the users of the distribution network for concession rental payments to UEDCL as determined by ERA through the tariff methodology.

No concession rental payments were made to UEDCL regarding the concession obligation during the year ended 31 December 2018 and for the period ended 30 June 2019 as ERA excluded the concession rental fees from the end user tariffs for the periods.

UEDCL bears the risk that the cash flows generated by the users of the Distribution Network using the tariff approved by ERA will not be sufficient to recover the concession rental amounts paid by the Company to UEDCL. The Company's cash flows relating to the rentals paid are effectively secured, which results in a financial asset as the consideration received. The service concession arrangement is subject to a grantor (UEDCL) guarantee and payments made by the users are effectively regarded as cash collected on behalf of the grantor and this gives rise to a financial asset for the commitment made by the grantor. Concession rental payments to UEDCL regarding the concession obligation are disclosed in Note 17.

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13. CONTRACT ASSETS

	Unaudited 30 June 2019 Ushs million	Audited 31 December 2018 Ushs million
(a) Amounts recoverable from customer capital contributions		
At 1 January	4,542	12,461
Additions to customer funded installations	4,878	7,408
Completed customer funded installations	(3,990)	(15,924)
Translation difference	(20)	597
	<u>5,410</u>	<u>4,542</u>
b) ECP amounts recoverable from REA		
At 1 January	-	-
Reclassification from WIP	6,892	-
Additions during the period/year	117,723	-
Expensed on billing during the period/year	(28,864)	-
At end of period/year	<u>95,751</u>	<u>-</u>
Total contract assets	<u>101,161</u>	<u>4,542</u>

The ECP amounts recoverable from REA relate to costs that are reimbursable to the Company for no pole and one pole connections by the Company on behalf of REA. The amount relates to costs incurred on connections not completed or connections pending verification by the IVA. The project commenced in November 2018.

14. TRADE AND OTHER RECEIVABLES

	Unaudited 30 June 2019 Ushs million	Audited 31 December 2018 Ushs million
Trade receivables	224,907	215,475
Less: Expected credit losses	<u>(68,005)</u>	<u>(64,478)</u>
Net trade receivables	<u>156,902</u>	<u>150,997</u>
Letters of credit	1,081	1,085
Surcharge regulatory revenue receivable	6,731	13,521
Other receivables	3,713	11,853
REA – ECP receivables	9,481	22,040
	<u>21,006</u>	<u>48,499</u>
Trade and other receivables	<u>177,908</u>	<u>199,496</u>

The Company's financial assets held at 30 June 2019 and 31 December 2019 included trade receivables, letters of credit, life line revenue receivable, receivables from REA under the ECP arrangement and other receivables.

Surcharge regulatory revenue receivable of Ushs 6,731 million (2018: Ushs 13,521 million) relates to the revenue discussed in Note 3(c). Other receivables comprise staff advances and accountable advances.

Trade receivables are non-interest bearing and are generally on 14-30 days' terms. The carrying amount of trade and other receivables approximates the fair values.

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NOTES TO THE INTERIM CONDENSED FINANCIAL STATEMENTS (CONTINUED)
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14. TRADE AND OTHER RECEIVABLES (Continued)

The movement in expected credit losses was as shown below:

	Unaudited	Audited
	30 June 2019	31 December 2018
	Ushs million	Ushs million
At 1 January	64,478	69,144
Impact of initial application of IFRS 9	-	4,200
At 1 January – Restated	64,478	73,344
Increase in ECL	3,812	6,686
Less: Bad debts written off (see below)	-	(15,552)
Translation difference	(285)	-
	68,005	64,478

Bad debts are written off after the Company's debt collectors have performed the debt collection procedures and processes as agreed upon with URA and certifying that the chances of recovering the debts are remote. As at period/year-end, the ageing analysis of trade receivables was as follows:

Year	Total	Neither past due nor impaired	Past due but not impaired		Impaired
		<30 days	30-60 days	>60 days	
	Ushs million	Ushs million	Ushs million	Ushs million	Ushs million
30 June 2019	224,907	117,277	21,817	17,808	68,005
31 December 2018	215,475	112,359	20,902	17,736	64,478

15. BANK BALANCES

	Unaudited	Audited
	30 June 2019	31 December 2018
	Ushs million	Ushs million
Bank balances	26,785	21,208

The Company holds no collateral in respect to the bank balances. Bank balances are short-term deposits made for varying periods depending on the cash requirements of the Company, and earn interest at the applicable market deposit rates.

16. BORROWINGS

	Unaudited	Audited
	30 June 2019	31 December 2018
	Ushs million	Ushs million
Amounts due to lenders: Term loan	412,516	478,471
Short term loan	56,927	57,085
Less: Deferred transactions costs	(7,530)	(7,021)
	461,913	528,535
Less: Current portion - amount due within one year		
Term loan	(127,688)	(128,250)
Short term loan	(56,927)	(57,085)
Amounts due within one year	(184,615)	(185,335)
Amounts due in more than one year	277,298	343,200

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16. BORROWINGS (Continued)

(a) Amount due to lenders

Term loan	Unaudited 30 June 2019 Ushs million			Audited 31 December 2018 Ushs million		
	Facility A	Facility B	Total	Facility A	Facility B	Total
Movement:						
At 1 January	222,946	255,525	478,471	262,216	332,368	594,584
Interest charge	8,748	10,027	18,775	18,783	23,280	42,063
Foreign exchange losses	(926)	(1,008)	(1,934)	6,712	9,126	15,838
Less: Principal repayment	(22,289)	(41,771)	(64,060)	(45,635)	(85,523)	(131,158)
Less: Interest payment	(8,730)	(10,006)	(18,736)	(19,130)	(23,726)	(42,856)
At period end	199,749	212,767	412,516	222,946	255,525	478,471
The amounts due are made up as follows:						
Principal payable after year	155,323	129,505	284,828	178,323	171,898	350,221
Principal payable in one year	44,426	83,262	127,688	44,623	83,627	128,250
	199,749	212,767	412,516	222,946	255,525	478,471

Short term loan – Standard Chartered Bank (SCB)

	Unaudited 30 June 2019 Ushs million	Audited 31 December 2018 Ushs million
Movement:		
At 1 January	-	72,972
Interest charge for the period/year	-	915
Interest payment	-	(1,039)
Principal repayment	-	(73,900)
Foreign exchange loss	-	1,052
	-	-

Short term loan – DFCU Bank Limited (DFCU)

	Unaudited 30 June 2019 Ushs million	Audited 31 December 2018 Ushs million
Movement:		
At 1 January	57,085	-
Amount received during the period	54,500	109,250
Interest charge for the period/year	3,801	6,508
Interest payment	(4,460)	(3,924)
Principal repayment	(54,500)	(54,750)
Foreign exchange loss	501	1
	56,927	57,085

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16. BORROWINGS (Continued)

b) Deferred transaction costs

Term loan	Unaudited 30 June 2019 Ushs million			Audited 31 December 2018 Ushs million		
	Facility A	Facility B	Total	Facility A	Facility B	Total
Movement:						
At 1 January	2,750	4,271	7,021	3,151	4,789	7,940
Upfront and guarantee fees	516	-	516	170	-	170
Management, security and agency fees	-	-	-	134	89	223
Amortisation for the period	(209)	235	26	(1,257)	(1,060)	(2,317)
Foreign exchange losses	(15)	(18)	(33)	552	453	1,005
At period end	3,042	4,488	7,529	2,750	4,271	7,021

The Company has a term and revolving credit facilities agreement worth USD 235 million with International Finance Corporation (IFC), SCB and Stanbic Bank Uganda Limited as the mandated lead arrangers. USD 90 million is designated as term Facility A provided by IFC and USD 125 million as term Facility B provided by Stanbic Bank Uganda Limited and SCB. USD 15 million and USD 5 million were designated as revolving credit facilities with SCB and Stanbic Bank Uganda Limited, respectively. SCB is the overdraft issuer, security agent and the facility agent.

During the period, the company accessed a short-term facility of Ushs 54,500 million (USD 14.7 million) from DFCU as per the provisions on permitted financial indebtedness in the term and revolving facilities agreement.

As at 30 June 2019, the Company had an outstanding balance of Ushs 199,749 million (USD 54 million) [2018: Ushs 222,946 million (USD 72 million)] on Facility A, Ushs 212,767 million (USD 58 million) [2018: Ushs 255,525 million (USD 68 million)] on Facility B, and Ushs 56,927 million (USD 15 million) [2018: Ushs 57,085 million (USD 15 million)] on the short-term loan with DFCU.

Facilities A and B both attract interest at LIBOR (applicable screen rate) + a margin of 5%. Facility A is repayable in 15 semi-annual instalments of 6.7% of the total facility drawn down at the end of the availability period and 6.62% on the termination date (November 2023). Facility B is repayable in 9 semi-annual instalments of 9% of the total facility drawn down at the end of the availability period and 28% on the termination date (November 2020).

The Company repaid Ushs 22,289 (USD 6 million) relating to Facility A and Ushs 41,771 million (USD 11.3 million) relating to Facility B.

The short-term facility with DFCU attracts interest at the 182 Treasury Bill rate plus a margin of 5.5 per annum for amounts drawn in Ushs or the 6 months LIBOR plus a margin of 5% in respect of amounts drawn down in USD. The applicable interest for Ushs facilities was 14.15%

The short-term loan with DFCU is an unsecured revolving/renewable credit facility with a maximum tenor of six months.

The term facilities are secured against a first ranking fixed charge on all the Company's rights, title and interest from time to time and all related rights; and all contracts of insurance in respect of the mandatory insurances in which the Company has an interest and all moneys from time to time payable thereunder, and related rights.

As at period-end, the Company was in compliance with the 5 ratios and covenants specified in the term and revolving credit facilities agreement.

UMEME LIMITED
NOTES TO THE INTERIM CONDENSED FINANCIAL STATEMENTS (CONTINUED)
FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2019

17. CONCESSION OBLIGATION

	Unaudited 30 June 2019	Audited 31 December 2018
	Ushs million	Ushs million
At 1 January	435,291	394,985
Financing expense for the period/year	17,098	32,386
Foreign exchange (gain)/loss	<u>(2,025)</u>	<u>7,920</u>
At 31 December	<u>450,364</u>	<u>435,291</u>
Maturity analysis of the concession obligation:		
Outstanding concession obligation	450,364	435,291
Less: Amount payable within one year	<u>-</u>	<u>-</u>
Non-current portion of concession obligation	<u>450,364</u>	<u>435,291</u>
The concession obligation is payable as analysed below:		
Within one year	-	-
Between one and two years	1,030	3,976
Between two and three years	6,339	8,932
Between three and four years	6,846	42,883
Between four and five years	14,690	46,314
After five years	<u>421,459</u>	<u>333,186</u>
	<u>450,364</u>	<u>435,291</u>

On 1 March 2005, the Company took over the operation of the electricity power distribution network that was being operated by UEDCL under a 20-year concession arrangement. The present value of the obligation arising from the lease rental payments under the concession agreements at the commencement of the concession was estimated to be Ushs 219 billion (US\$ 119 million) using a discount rate of 8.911%. The present value of the concession obligation is adjusted in case of changes in the estimated repayment schedule.

18. CONTRACT LIABILITIES

	Unaudited 30 June 2019	Audited 31 December 2018
Deferred revenue on prepaid sales	(a) 5,078	8,593
Deferred construction income	(b) 3,353	1,431
Deferred capital fund – Growth Factor Revenues	(c) 82,040	54,131
Deferred capital fund – Non-network assets	(d) 7,652	6,371
Deferred capital fund – Led bulbs	337	342
Deferred capital fund – Skills Development	138	97
Deferred capital fund – Peri-Urban projects	(e) (2,399)	(2,410)
Deferred capital fund – Customer Rebates and Meter Testing	(f) <u>10,469</u>	<u>10,332</u>
	<u>106,668</u>	<u>78,887</u>

The notes (a) to (h) describe the nature of the transactions and movements in contract liabilities.

UMEME LIMITED
NOTES TO THE INTERIM CONDENSED FINANCIAL STATEMENTS (CONTINUED)
FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2019

18. CONTRACT LIABILITIES (Continued)

(a) Deferred revenue on pre-paid sales

Prepaid sales relate to sales to Government of Uganda Time of Use (GOU-TOU) through smart metering systems and sales to domestic customers whose consumption is estimated. As at 30 June 2019, Ushs 3,480 million (2018: Ushs 6,360 million) sales to GOU-TOU had not been consumed while it was estimated that 5% of the pre-paid electricity tokens purchased by domestic customers had not been consumed (2018: 6%).

(b) Deferred construction income

	Unaudited 30 June 2019 Ushs million	Audited 31 December 2018 Ushs million
At 1 January	1,431	823
Amount received	3,561	22,545
Amount utilized	(1,638)	(22,142)
Foreign exchange (gain)/loss	(1)	205
Unutilized customer contributions at period end	3,353	1,431

Deferred construction income relates to capital contributions from customers for new electricity service connections that are not yet utilised on asset construction works. The amounts paid by the customers for the construction expenses ('non-refundable capital contributions' or 'NRCC') are recognised as construction cost of sales when utilized.

(c) Deferred capital fund – Growth Factor Revenues

	Unaudited 30 June 2019 Ushs million	Audited 31 December 2018 Ushs million
At 1 January	54,131	23,733
Amount billed	29,268	30,398
Foreign exchange gain	(1,359)	-
At period end	82,040	54,131

As disclosed in Note 3(a), the balance relates to the amount collected from customers that is required to be used for funding construction of assets approved by ERA but not yet utilised at period/year-end.

(d) Deferred capital fund – Non-network assets

	2019 Ushs million	2018 Ushs million
At 1 January	6,371	5,027
Amount billed	4,646	9,345
Amount utilised for purchasing non-network assets	(3,433)	(7,996)
Foreign exchange loss/(gain)	68	(5)
At period end	7,652	6,371

As disclosed in note 3(b), this relates to the amount billed and collected from customers for funding non-network assets but not yet utilised at period/year-end.

UMEME LIMITED
NOTES TO THE INTERIM CONDENSED FINANCIAL STATEMENTS (CONTINUED)
FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2019

18. CONTRACT LIABILITIES (Continued)

(e) Peri-Urban Development

This relates to funds receivable from Development Finance Institutions (DFIs) through REA for providing electricity access to customers that are within range of the electricity grid but do not have access. The amounts reported represent the amounts that were utilized but not yet received from REA at period/year-end.

(f) Customer Rebates and Meter Testing

These relate to the amounts collected from customers in relation to the industrial rebate policy and meter testing. ERA approved the collection of Ushs 321 million during the period (2018: Ushs 125 million) to facilitate testing of meters in order to ensure compliance with the Weight and Measures (Electricity meter) rules. The amounts collected were not utilised

19. SHORT TERM BORROWINGS

	Unaudited 30 June 2019 Ushs million	Audited 31 December 2018 Ushs million
Overdraft	49,919	39,490
Less: Deferred transactions costs	(508)	(361)
	49,411	39,129
Deferred transaction costs		
At 1 January	361	488
Transaction costs for the period	222	-
Amortisation for the period/year	(57)	(137)
Foreign exchange (gain)/loss	(18)	10
	508	361

As at period-end, the Company had drawn down Ushs 49,919 million (USD 13 million) [2018: Ushs 39,490 million, (USD 11 million)] from SCB and Stanbic Bank under the revolving credit facility as disclosed in Note 16. The revolving credit facility attracts interest based on the Treasury Bill rate plus a margin determined by the facility agent (if withdrawn in Ushs) or LIBOR plus a margin determined by the facility agent (if withdrawn in USD dollars).

As at period-end, the total outstanding amount drawn was in Ushs and USD. The applicable interest rates as at period-end were:

Bank	Facility	
	USD	Ushs
SCB	10.48%	16.50%
Stanbic Bank Limited	-	17.40%
DFCU	-	14.15%

Other terms and conditions are as disclosed in Note 16.

UMEME LIMITED
NOTES TO THE INTERIM CONDENSED FINANCIAL STATEMENTS (CONTINUED)
FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2019

20. DISTRIBUTIONS TO SHAREHOLDERS MADE AND PROPOSED

	Unaudited 30 June 2019		Audited 31 December 2018	
	Dividend per share Ushs	Total Ushs million	Dividend per share Ushs	Total Ushs million
Dividend paid				
Interim dividend paid	12.7	20,623	12.7	20,623
Final dividend paid	-	-	7.6	12,323
Dividend proposed				
Interim dividend	-	-	12.7	20,623
Final dividend	-	-	28.2	45,784
Total dividend	-	-	40.9	66,407

At the Annual General Meeting held on 9 May 2019, the shareholders approved a final dividend for the year ended 31 December 2018 of Ushs 28.2 per ordinary share to be paid for the year ended 31 December 2018. The dividend was paid to the shareholders on 15 July 2019.

21. CASH AND CASH EQUIVALENTS

	Unaudited 30 June 2019 Ushs million	Unaudited 30 June 2018 Ushs million
Bank balances	26,785	15,025
Short term loan facilities	(49,411)	(70,813)
Ring fenced bank balances not available for use	(1,129)	(372)
	(23,755)	(56,160)

Balances not available for use relate to customer security deposits which are the amounts required to be paid by customers before they are connected to the power distribution system. The deposits act as security for any unpaid bills in case of termination of the energy supply agreement.

22. FINANCIAL INSTRUMENTS

Set out below is an overview of financial assets, other than cash and short-term deposits held by the Company as at period/year-end:

Financial assets	Unaudited 30 June 2019 Ushs million	Audited 31 December 2018 Ushs million
Debt instruments at amortised cost		
Buy out amount	755,213	679,017
Concession arrangement: financial asset	450,364	435,291
Non-current	1,205,577	1,114,308
Trade receivables	156,902	150,997
Lifeline surcharge receivable	6,731	13,521
Letters of credit – cash cover	1,081	1,085
REA - ECP receivables	9,481	22,040
Current	174,195	187,643
Total	1,379,772	1,301,951

UMEME LIMITED
NOTES TO THE INTERIM CONDENSED FINANCIAL STATEMENTS (CONTINUED)
FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2019

22. FINANCIAL INSTRUMENTS (Continued)

Set out below is an overview of financial liabilities held by the Company as at period/year-end:

	Unaudited 30 June 2019 Ushs million	Audited 31 December 2018 Ushs million
Financial liabilities at amortised cost		
Borrowings	461,913	528,535
Concession obligation	450,364	435,291
Trade payables	388,107	351,798
Short term borrowings	49,411	39,129
	1,349,795	1,354,753
Current	622,133	576,262
Non-current	727,662	778,491
	1,349,795	1,354,753

The expected credit losses on financial assets comprise the following:

	Unaudited 30 June 2019 Ushs million	Unaudited 30 June 2018 Ushs million
Buy out amount	16	-
Other financial assets	38	-
Trade and other receivables	3,812	5,057
	3,866	5,057

23. LETTERS OF CREDIT

As at period-end, the Company had letters of credit facilities with Standard Chartered Bank Uganda Limited. The letters of credit facilitate the purchase and importation of network equipment and related electricity distribution accessories. A total of Ushs 1,810 million (USD 0.3 million) had been issued under the letters of credit facilities as at 30 June 2019 (31 December 2018: Ushs 1,085 million).

As at 30 June 2019, the Company also had letters of credit with Standard Chartered Bank Uganda Limited amounting to Ushs 6,805 million (December 2018: Ushs 5,858 million) with no cash cover. These are covered by the goods under importation and insurance.

These letters of credit are issued against the working capital lines of credit with Standard Chartered Bank Uganda Limited.

UMEME LIMITED
NOTES TO THE INTERIM CONDENSED FINANCIAL STATEMENTS (CONTINUED)
FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2019

24. SHAREHOLDING

a) Shareholding

	Name	30 June 2019		31 December 2018	
		Unaudited		Audited	
		Number of shares	Percentage shareholding	Number of shares	Percentage shareholding
1	National Social Security Fund	376,315,085	23.17%	376,315,085	23.17%
2	Allan Gray	161,921,417	9.97%	161,921,417	9.97%
3	Kimberlite Frontier Africa Master Fund	144,564,483	8.90%	144,564,483	8.90%
4	Utilico Emerging Markets Limited	126,003,874	7.76%	80,386,788	4.95%
5	Imara S P Reid (Pty) Ltd	87,121,509	5.37%	66,521,509	4.10%
6	Investec Asset Management Africa	60,165,040	3.71%	70,502,449	4.34%
7	International Finance Corporation	45,220,900	2.78%	45,220,900	2.78%
8	The Africa Emerging Markets Fund	44,046,801	2.71%	64,063,887	3.95%
9	Coronation Global Opportunities Fund	41,856,570	2.58%	42,125,470	2.59%
10	Duet Fund	39,796,024	2.45%	39,796,024	2.45%
11	Others	496,866,302	30.60%	532,459,993	32.79%
		1,623,878,005	100%	1,623,878,005	100%

b) Spread of issued shares as at 30 June 2019

Shareholding (number of shares)	Number of Shareholders	Number of shares held	Percentage shareholding
Less than 500 shares	662	127,052	0.01%
500 - 5,000 shares	2,892	5,344,653	0.33%
5,001 – 10,000 shares	611	4,764,075	0.29%
10,001 – 100,000 shares	1,007	29,892,265	1.84%
100,001 - 1,000,000 shares	398	104,288,335	6.42%
Above 1,000,000 shares	108	1,479,461,625	91.11%
	5,678	1,623,878,005	100%

25. EARNINGS BEFORE INTEREST, TAXATION, DEPRECIATION AND AMORTISATION (EBITDA)

The Company uses EBITDA as part of its alternative performance measures. For this purpose, EBITDA is defined as operating profit before amortisation adjusted for foreign exchange losses/gains and finance lease income. For the purposes of borrowing covenants computation, EBITDA is adjusted for any extra ordinary gains and losses that are not as a result of normal course of business, any non-cash items and any gains or losses from sale of assets (other than inventory sold in the ordinary course of business).

	Unaudited 30 June 2019		Unaudited 30 June 2019	
	Ushs million	USD'000	Ushs million	USD'000
Operating profit before amortisation	194,158	53,601	158,589	42,913
Foreign exchange losses/(gains)	525	(1,216)	2,297	620
Other tax provision	-	-	4,196	1,091
EBITDA	194,683	52,385	165,082	44,624

UMEME LIMITED
NOTES TO THE INTERIM CONDENSED FINANCIAL STATEMENTS (CONTINUED)
FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2019

26. CONTINGENT LIABILITIES

(a) Tax assessments – tax treatment of concession assets

Uganda Revenue Authority (URA) conducted a tax audit during the prior periods. URA noted that all investments in the Distribution Network (concession assets) accounted for under concession accounting (IFRIC 12) in the Company's financial statements should have been treated as intangible assets on adoption of IFRIC 12 in 2008 for purposes of determining taxable income, and that the Company is not entitled to tax depreciation allowances. URA has not issued a tax assessment with respect to this matter as the Company had sought Court interpretation on the matter. URA, however, issued a specific assessment indicating that for the years 2013 to 2016, the Company underpaid tax as a result of utilisation of carry forward tax losses and tax credits. The assessed amount was Ushs 9.2 billion as principal tax, interest and penalties from carry forward tax losses and Ushs 4.2 billion relating to utilisation of tax credits.

The Company is in the process of objecting to this assessment, on similar grounds as those adopted in the treatment of concession assets noted below:

- (a) Based on the Income Tax Act (ITA) cap 340, URA should use specific principles of taxation for purposes of determining taxable income and not just accounting standards as the sole basis for determination of taxable income.
- (b) URA has previously provided a private ruling to another concessionaire giving them the right to claim tax depreciation allowances on concession assets. The Company's tax treatment of concession assets should be consistent with other tax payers operating under concession arrangements.
- (c) The concession agreement between Umeme Limited and Government of Uganda conferred to Umeme the right to claim capital allowances for investments in the modification of the distribution network.
- (d) The tax losses and tax credits that the Company utilised are directly related to Umeme's tax treatment of its capital investments and were utilised in accordance with the Income Tax Act.

The directors believe, following consultation with the company's tax consultants and legal counsel, that the Company has a reasonably high chance of having this dispute determined in its favour. The consent judgement reached in 2015 between Umeme and URA with respect to these items did not remove the rights of either party with regards to the tax treatment of concession assets.

Accordingly, no provision for any liability relating to the matter has been made in these financial statements.

(b) Interest and penalties relating to the 2016 restatement of revenue

URA issued an assessment indicating that the restatement of the Company's 2016 financial statements resulting from recognition of lifeline revenue led to an under payment of the corporation tax amounting to Ushs 9.48 billion and the related automatic interest and penalties of Ushs 2 billion and Ushs 1.2 billion, respectively.

The Company accrued for the assessed principal tax in the 2016 restated financial statements and paid it in to URA in 2018. However, the Company is in the process of objecting to the interest and penalties based on the following:

- Although the under provision of the lifeline revenue resulted in a restatement of the Company's 2016 financial statements, the income relating to this under provision was not taxable in 2016. The income became taxable when ERA acknowledged the under provision and approved recovery through the 2018 tariff. This is based on interpretation of Section 42 of the Income Tax Act (ITA) explained in detail below.

UMEME LIMITED
NOTES TO THE INTERIM CONDENSED FINANCIAL STATEMENTS (CONTINUED)
FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2019

26. CONTINGENT LIABILITIES (Continued)

(b) Interest and penalties relating to the 2016 restatement of revenue (continued)

For income tax purposes, Section 42(2) of the Income Tax Act (ITA) provides that:
 "42. Accrual-Basis Taxpayer:

1. A taxpayer who is accounting for tax purposes on an accrual basis –
 - a) derives income when it is receivable by the taxpayer; and
 - b) Incurs expenditure when it is payable by the taxpayer.
2. Subject to the Income Tax Act, an amount is receivable by a taxpayer when the taxpayer becomes entitled to receive it, even if the time for discharge of the entitlement is postponed or the entitlement is payable by instalments."

The directors therefore, in consultation with the Company's tax consultants and legal counsel, believe that the Company has a reasonably high chance of having this dispute determined in its favour. Accordingly, no provision for any liability relating to this matter has been made in these financial statements.

27. RELATED PARTY DISCLOSURES

Other directors' interests

At the date of this report, the following directors held directly an interest in the Company's ordinary issued share capital as reflected in the table below:

Director	Number of shares	% of shareholding	Number of shares	% of shareholding
	Unaudited		Audited	
	30 June 2019		31 December 2018	
Selestino Babungi	3,900,000	0.24%	3,900,000	0.24%
Patrick Bitature	2,011,100	0.12%	2,011,100	0.12%
Florence N. Nsubuga	1,260,000	0.08%	1,260,000	0.08%
Hon. Gerald Ssendaula	586,800	0.04%	586,800	0.04%

Compensation of key management personnel

	2019	2018
	Unaudited	Unaudited
	30 June	30 June
	2019	2018
	Ushs million	Ushs million
Directors' emoluments and expenses	1,491	1,395
Contributions to NSSF	243	110
Bonus payments	<u>1,739</u>	<u>-</u>

The amounts disclosed in the table are the amounts recognised as an expense during the reporting period related to key management personnel.

The non-executive directors do not receive pension entitlements from the Company.

28. CAPITAL COMMITMENTS

As at period-end, the Company had capital commitments of Ushs 53,197 million relating to upgrading and expansion of the distribution network.

29. EVENTS AFTER THE REPORTING PERIOD

There are no material events that have occurred between the end of the reporting period and the date of this report that would require adjustment to or disclosure in these financial statements.

UMEME LIMITED
SUPPLEMENTARY INFORMATION
FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2019

FINANCIAL STATEMENTS FOR THE PERIOD ENDED 30 JUNE 2019 IN US DOLLARS

The Company's functional currency is US Dollars effective 1 January 2015. However, the Company has elected to present its financial statements in Uganda Shillings. To meet the needs of certain users of the financial statements, the statement of profit or loss, statement of comprehensive income, statement of financial position and statement of changes in equity have been presented in US Dollars as indicated in the accompanying memoranda.

The translation is done in accordance with the Company's accounting policy as disclosed in Note 2 to the audited annual financial statements. The rates applicable for 2018 and 2019 were as follows:

	June 2019	June 2018	December 2018
Average rate	3,722	3,705	3,732
Period-end rate	3,700	3,885	3,717
<i>Source: Bank of Uganda</i>			

UMEME LIMITED
SUPPLEMENTARY INFORMATION
FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2019

STATEMENT OF PROFIT OR LOSS FOR THE 6 MONTHS PERIOD ENDED 30 JUNE 2019

	Unaudited 6 months ended 30 June 2019 USD '000	Unaudited 6 months ended 30 June 2018 USD '000
Revenue from contracts with customers	219,354	200,142
Cost of sales	<u>(139,738)</u>	<u>(128,199)</u>
GROSS PROFIT	79,616	71,943
Repair and maintenance expenses	(4,330)	(5,857)
Administration expenses	(21,856)	(21,238)
Expected credit losses on financial asset	(1,045)	(1,315)
Foreign exchange gains/(losses)	<u>1,216</u>	<u>(620)</u>
OPERATING PROFIT BEFORE AMORTISATION	53,601	42,913
Amortisation of intangible assets	<u>(15,974)</u>	<u>(12,806)</u>
OPERATING PROFIT	37,627	30,107
Finance income	6,322	5,683
Finance costs	<u>(12,121)</u>	<u>(12,376)</u>
PROFIT BEFORE TAX	31,828	23,414
Income tax expense	<u>(13,918)</u>	<u>(6,827)</u>
PROFIT FOR THE YEAR	<u>17,910</u>	<u>16,587</u>
	Unaudited 6 months ended 30 June 2019 USD	Unaudited 6 months ended 30 June 2018 USD
BASIC AND DILUTED EARNINGS PER SHARE	<u>0.011</u>	<u>0.01</u>

UMEME LIMITED
SUPPLEMENTARY INFORMATION
FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2019

STATEMENT OF COMPREHENSIVE INCOME FOR THE PERIOD ENDED 30 JUNE 2019

	Unaudited 6 months ended 30 June 2019 USD '000	Unaudited 6 months ended 30 June 2018 USD '000
Profit for the year	17,910	16,587
Other comprehensive income	-	-
Total comprehensive income for the year, net of tax	17,910	16,587

UMEME LIMITED
SUPPLEMENTARY INFORMATION
FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2019

STATEMENT OF FINANCIAL POSITION AS AT 30 JUNE 2019

	Unaudited 30 June 2019 USD '000	Audited 31 December 2018 USD '000
ASSETS		
Non-current assets		
Intangible assets	244,312	272,209
Other financial asset	204,096	182,691
Concession financial asset	121,710	117,116
	570,118	572,016
Current assets		
Inventories	19,108	17,395
Contract assets	27,339	1,222
Income tax recoverable	-	4,939
Trade and other receivables	48,080	53,674
Prepayments	19,859	7,895
Bank balances	7,239	5,706
	121,625	90,831
TOTAL ASSETS	691,743	662,847
EQUITY AND LIABILITIES		
Equity		
Issued capital	8,217	8,217
Share premium	20,815	20,815
Retained earnings	181,446	175,912
	210,478	204,944
Non-current liabilities		
Borrowings: Non-current portion	74,940	92,339
Concession obligation	121,710	117,116
Deferred tax liability	50,992	45,158
	247,642	254,613
Current liabilities		
Borrowings: Current portion	49,892	49,865
Customer security deposits	305	214
Contract liabilities	28,827	21,223
Long term incentive plan	134	1,874
Provisions	6,051	8,115
Income tax payable	516	-
Trade and other payables	134,545	111,471
Bank overdraft	13,353	10,528
	233,623	203,290
TOTAL EQUITY AND LIABILITIES	691,743	662,847

UMEME LIMITED
SUPPLEMENTARY INFORMATION
FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2019

STATEMENT OF CHANGES IN EQUITY FOR THE PERIOD ENDED 30 JUNE 2019

	Issued capital USD '000	Share premium USD '000	Retained earnings USD '000	Total equity USD'000
At 1 January 2018	8,217	20,815	148,840	177,872
Profit for the period	-	-	16,587	16,587
Other comprehensive loss, net of tax	-	-	-	-
Total other comprehensive income, net of tax			16,587	16,587
Final dividend for 2017	-	-	(3,169)	(3,169)
At 30 June 2018 - unaudited	8,217	20,815	162,258	191,290
At 1 January 2019	8,217	20,815	175,912	204,944
Profit for the period	-	-	17,910	17,910
Other comprehensive loss, net of tax	-	-	-	-
Total other comprehensive loss, net of tax			17,910	17,910
Final dividend for 2018	-	-	(12,376)	(12,376)
At 30 June 2018 - unaudited	8,217	20,815	181,446	210,478

UMEME LIMITED
SUPPLEMENTARY INFORMATION
FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2019

STATEMENT OF CASH FLOWS FOR THE PERIOD ENDED 30 JUNE 2019

	Unaudited 6 months ended 30 June 2019	Unaudited 6 months ended 30 June 2018
Operating activities		
Profit before tax	31,828	23,414
Adjustment for:		
Interest received from banks	(36)	(62)
Finance income on concession financial asset	(4,594)	(4,254)
Amortisation of intangible assets	15,974	12,806
Interest expense on borrowings	6,277	6,446
Amortisation of deferred transaction costs on borrowings	(8)	708
Expected credit losses on financial assets	1,045	1,315
Finance cost on concession obligation	4,594	4,254
(Decrease)/increase in provisions	(2,063)	316
Fair value loss on other financial asset	-	82
Finance income on other financial asset	(1,691)	(1,367)
	51,326	43,658
Changes in:		
Inventories	(1,713)	(1,995)
Contract assets	(26,117)	2,448
Trade and other receivables	4,549	10,263
Prepayments	(11,963)	-
Contract liabilities	7,604	6,131
Long term incentive plan	(1,740)	-
Trade and other payables	16,300	(6,898)
Cash generated from operating activities	38,246	53,607
Interest received from banks	36	62
Current income tax paid	(1,493)	(2,858)
Interest paid on borrowings	(6,250)	(5,929)
Payment of commitment fees on borrowings	(138)	(400)
Net cash flows from operating activities	30,401	44,482
Investing activities		
Purchase of intangible assets	(7,795)	(30,579)
Net cash flows used in investing activities	(7,795)	(30,579)
Financing activities		
Repayment of borrowings	(31,975)	(37,253)
Proceeds from borrowings	14,722	15,000
Dividend paid	(5,603)	-
Net cash flows from financing activities	(22,856)	(22,253)
Net decrease in cash and cash equivalents	(250)	(8,350)
Cash and cash equivalents at 1 January	(5,036)	(6,106)
Foreign exchange differences	(1,134)	-
Cash and cash equivalent 30 June	(6,420)	(14,456)